

for a mortgage of \$200,000, the same amount that Diane is borrowing from her bank.

Diane: You are telling me that simply because I have a lower score on my credit report, I have to pay \$500 more every month than you?

Sam: Yep.

Diane: So every year, I have to pay about \$6000 more for my house than you do for your house, right next door to me?

Sam: Yep.

Diane: That doesn't seem fair! That's a lot of money!

Sam: Yep.

Diane: Is that all you can say?

Sam: Nope. I can say plenty. If you compound the interest over thirty years, it equates to even more than \$6000 a year more than what I will pay. At the end of thirty years, I will have paid almost \$209,000 in interest. That's a lot of money. You, on the other hand, will end up paying almost \$395,000! Just in interest!

THUD!

That was Diane hitting the floor.

When Diane was revived, she knew that she had to do something. It was time to take control over her financial matters. Sam turned her on to the techniques of *Debt Cures*.

Bye-Bye PMI

Often overlooked by people when buying a house is the issue of PMI, Private Mortgage Insurance. Don't have a 20% down payment for that mortgage? You'll get hit with an additional fee, called PMI. The theory behind it is that since you don't have a substantial down payment, you don't have a lot "invested" in that property, so you are more of a risk to just walk away from the debt. That's what they say, anyway. For every person out there who bought their first house and didn't have 20% for a down payment, I bet you wanted to sock them